



CfC Stanbic Holdings Limited

Presentation of financial performance for the half year
ended 30 June 2015



Financial results presentation



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Half year review

Philip Odera

Chief Executive, CfC
Stanbic Bank

Operating environment



•Macro- economic environment

- Inflation – June 2015 7.03% vs. June 2014 7.39%
- 91-day T-bill – June 2015 8.27% vs. June 2014 11.44%
- USD exchange rate – June 2015 98.60 vs. June 2014 86.80

•Regulatory environment

- Revision of Central Bank Rate
- New capital requirement that came into effect in 2015
- Appointment of new Central Bank Governor

•Market opportunities

- Infrastructural projects such as the Standard Gauge Railway, Up scaling of Jomo Kenyatta International Airport
- Oil and gas projects in Kenya
- Successful global entrepreneurship summit

•Market threats

- Terrorism
- Political unrest in South Sudan

Key metrics

	Jun-2015	Jun-2014	Change %
Total revenue (Kes m)	7,732	9,277	(17)
Profit after tax (Kes m)	1,959	3,357	(42)
Cost to income ratio	60.3%	50.4%	
Tier 1 capital ratio (Bank only)	15.6%	17.8%	
Total capital ratio (Bank only)	18.7%	18.7%	

	Jun-2015	Jun-2014
Return on average equity	10%	20%
Return on equity net of goodwill	14%	28%
Earnings per share	4.96	8.49
Net asset value per share	97.65	88.75
Dividend per share	0.75	0.95

The Kenya Group (Kenya Bank, South Sudan branch and SBG Securities) reported a half year on half year decline in profitability mainly due to:

- Decrease in revenue in our South Sudan operations as the effects of political unrest continue to impact the South Sudan economy
- Decrease in trading income driven by rise in yields due to heavy mopping up of liquidity leading to low trading activity

However the Group continued to report growth in balance sheet with customer deposits growing by 18% and customer loans growing by 28%

SBG securities improved its market share to 13.62% from 13.24% in the last quarter of 2014. This is despite lower volumes experienced in the securities exchange in 2015 due to local currency depreciation against the dollar

The Group continues to focus on cost discipline with costs growing below inflation

Detailed Financial Analysis

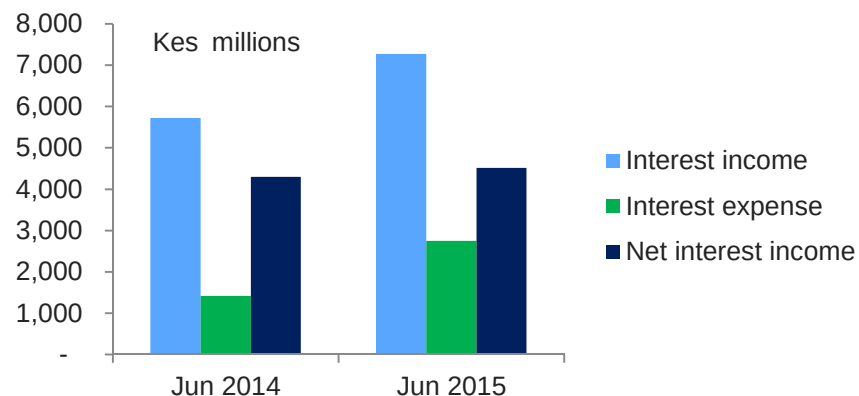
Abraham Ongenge

Chief Financial
Officer

Summary Income statement

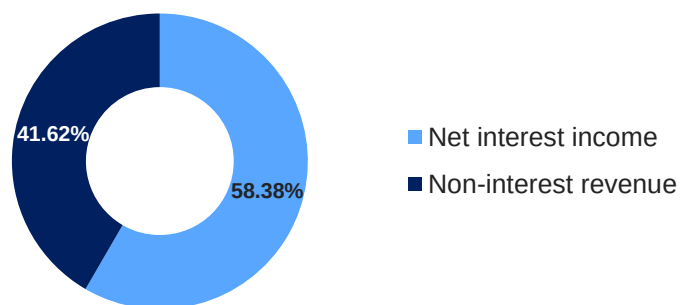
	Jun-2015 Kes millions	Jun-2014 Kes millions	Change %
Net interest income	4,393	4,302	2
Non-interest revenue	3,339	4,975	(33)
Total Income	7,732	9,277	(17)
Credit impairment charges	(241)	(274)	12
Total income after credit impairment charges	7,491	9,003	(17)
Operating expenses	(4,630)	(4,678)	1
Profit before tax	2,861	4,325	(34)
Tax	(902)	(969)	7
Profit after tax	1,959	3,356	(42)

Net interest income

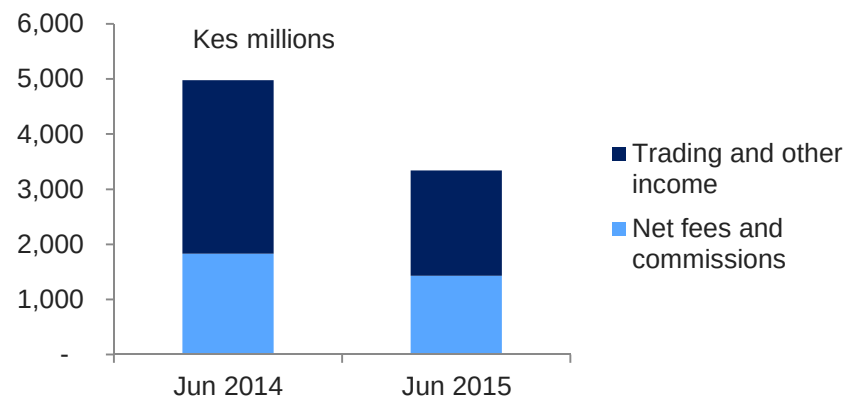


Net interest income increased year on year by 2% explained by:

- Growth in customer loans and advances by 28%
- Partly offset by increase in interest expense following successful securing of term funding to support loan growth



Non-interest revenue



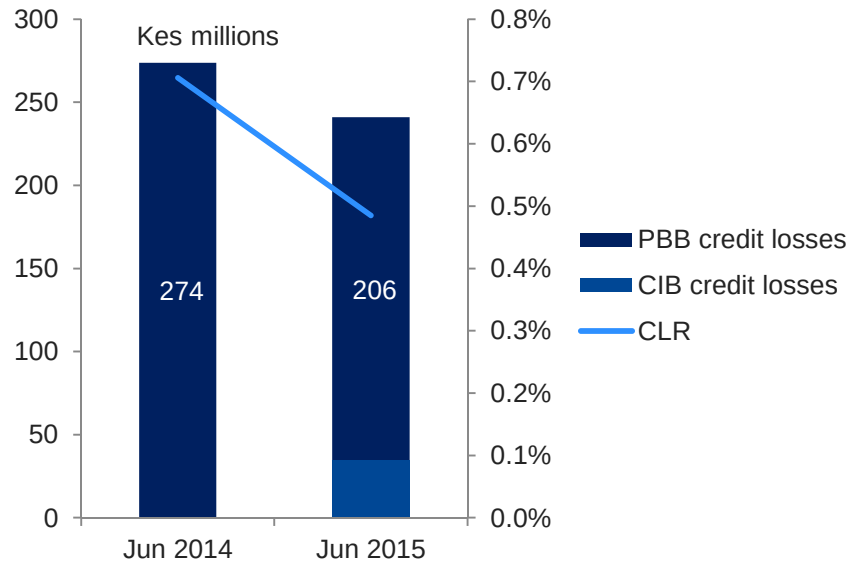
Net fees and commission income

Net fees and commission income decreased from Kes 1,833m in 2014 to Kes 1,430m in 2015. This was mainly attributable to decreased transactional volumes in the South Sudan business

Trading revenue

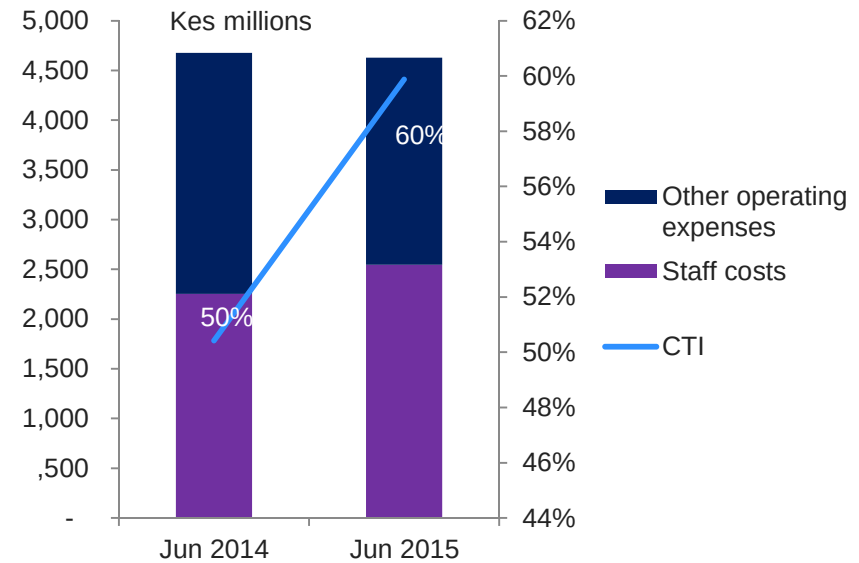
Income from trading decreased from Kes 2,889 million to Kes 1,820 million. The decrease was mainly driven by harsh trading environment in the Kenya bond market and low foreign exchange volumes in South Sudan

Credit impairment charges



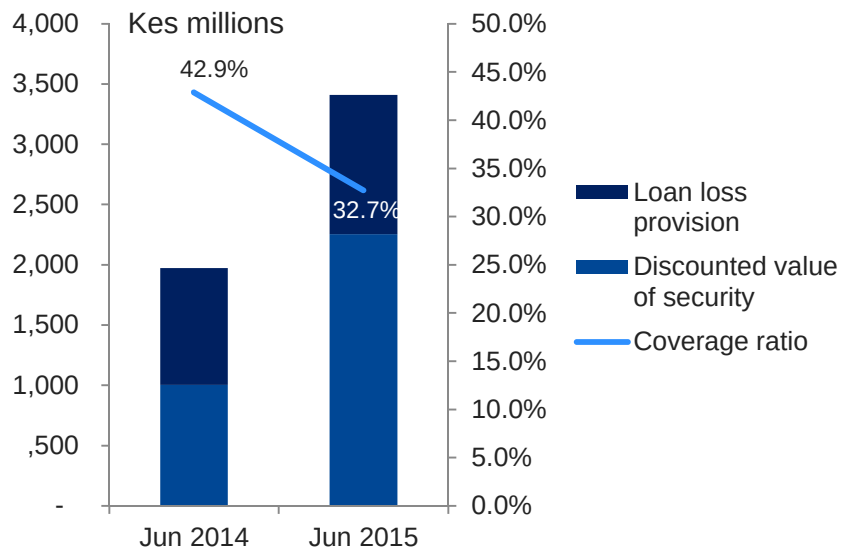
- Impairment charges have decreased year on year due to improved collections and proactive management of the portfolio

Operating expenses



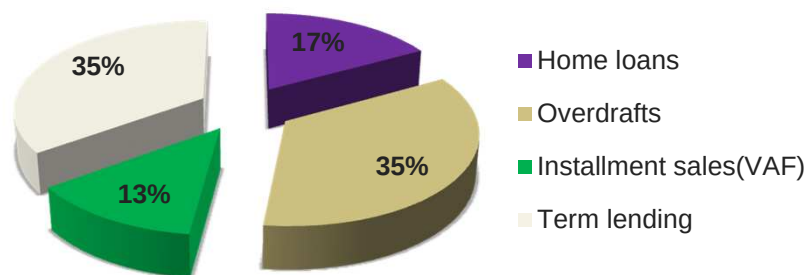
- Total operating expenses remained flat compared to June 2014
- The cost to income ratio was 60% due to decline in total revenue
- The Banking business successfully upgraded its core banking system in April 2015 and upgraded its digital platforms

Customer loans and advances- Non-performing loans (NPLs)

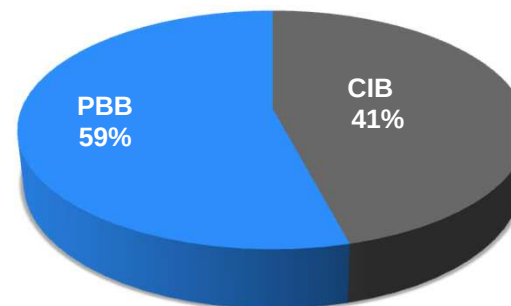


- Gross NPLs have increased by Kes 1,635m
- These exposures are fully secured and the discounted value of securities held explains the disproportionate increase in loan loss provision and decrease in NPL coverage ratio

June 2015 Gross NPLs by product



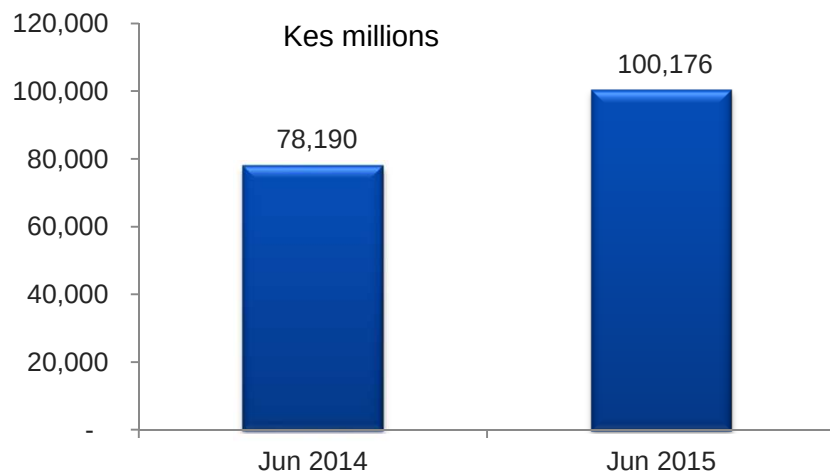
June 2015 Gross NPLs by business unit



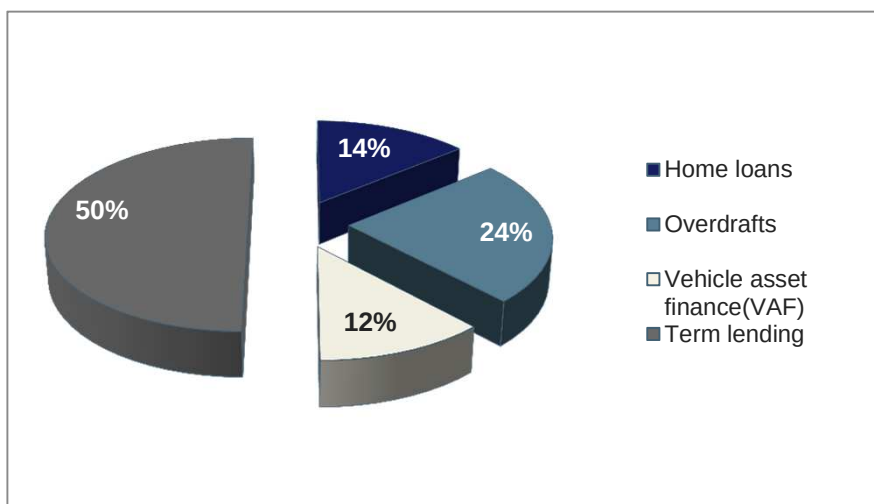
Summarised group balance sheet

	June-15 Kes millions	June-14 Kes millions	Change %
Assets			
Financial investments	60,693	39,080	55%
Loans and advances to banks	20,341	19,296	5%
Loans and advances to customers	100,176	78,190	28%
Other assets	19,558	16,892	16%
Property and equipment	2,778	2,301	21%
Intangible assets	9,755	9,971	(2%)
Total assets	213,301	165,730	29%
Liabilities			
Deposits from banks	47,631	19,850	>100%
Deposits from customers	111,923	94,787	18%
Borrowings	6,480	4,994	30%
Other liabilities	8,665	11,013	(21%)
Equity	38,602	35,086	10%
Liabilities and equity	213,301	165,730	29%
Contingents	17,332	23,403	(26%)
Letters of credit	6,277	11,349	(45%)
Guarantees	11,055	12,054	(8%)

Customer loans and advances

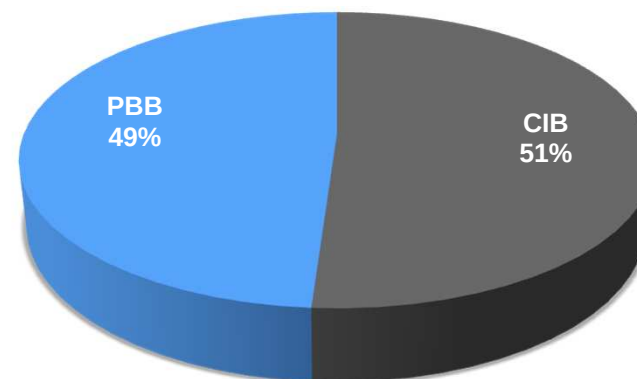


June 2015 Loans and advances by product

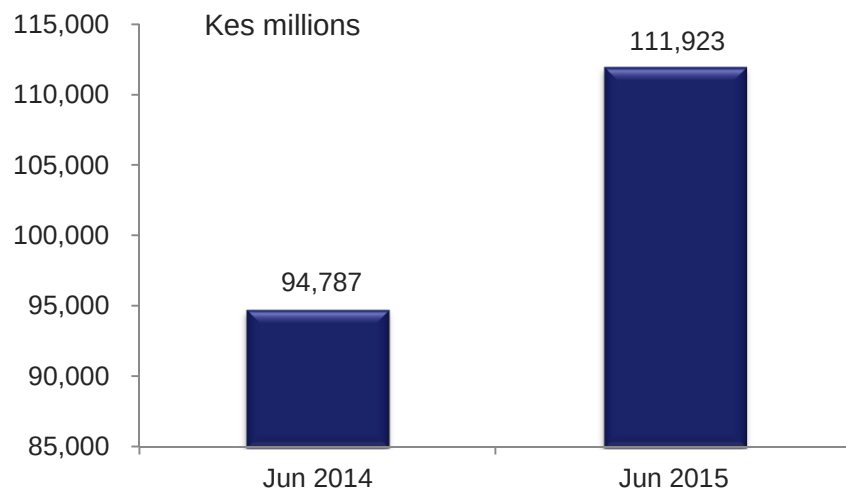


- Customer loans and advances grew by 28% mainly on term lending
- PBB contribution to customer loans and advances increased from 47% in June 2014 to 49% in June 2015

June 2015 Loans and advances by business unit



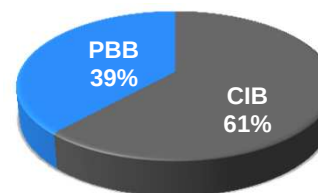
Customer deposits



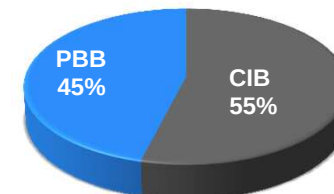
- Customer deposits grew by 18% year on year with core accounts accounting for 73% of total deposits

Customer deposits by business unit

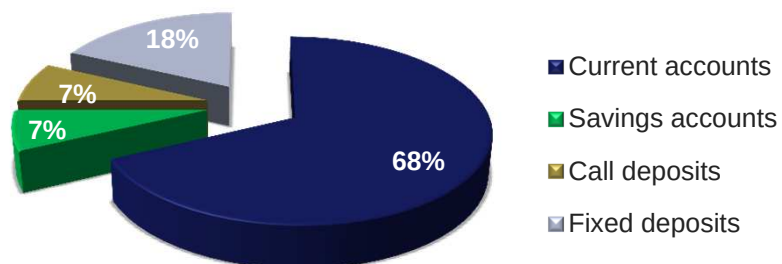
June 2014



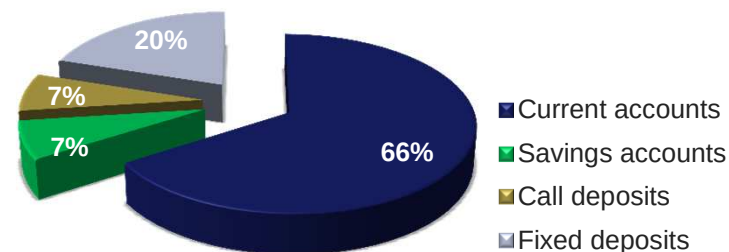
June 2015



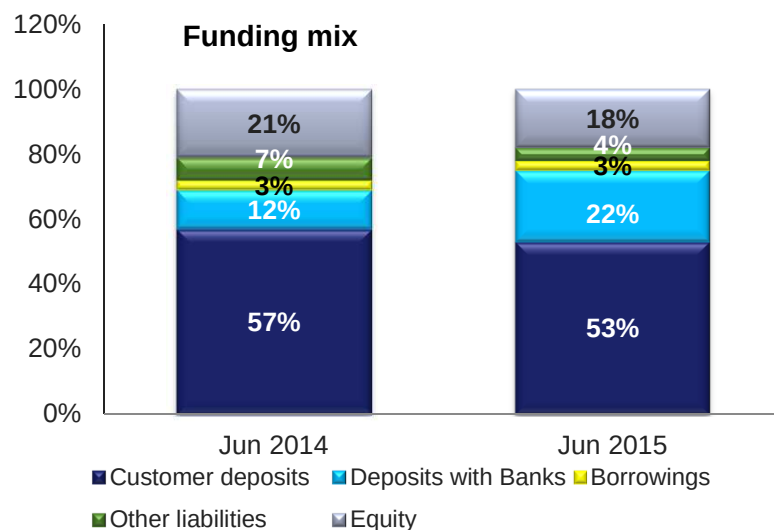
June 2014 customer deposits per product



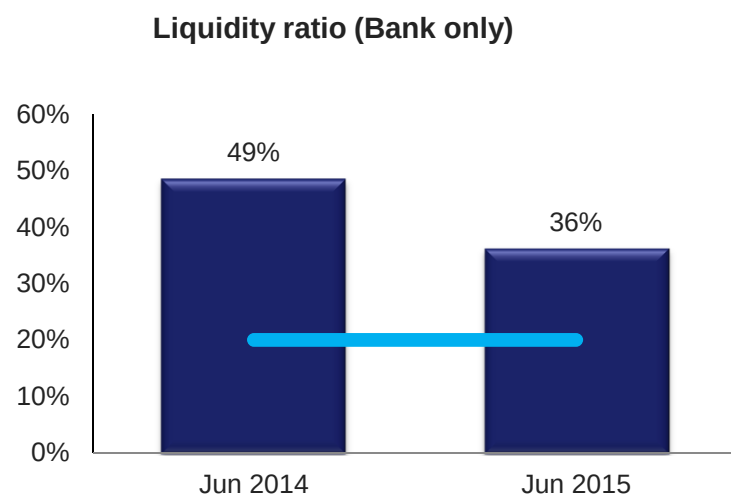
June 2015 customer deposits per product



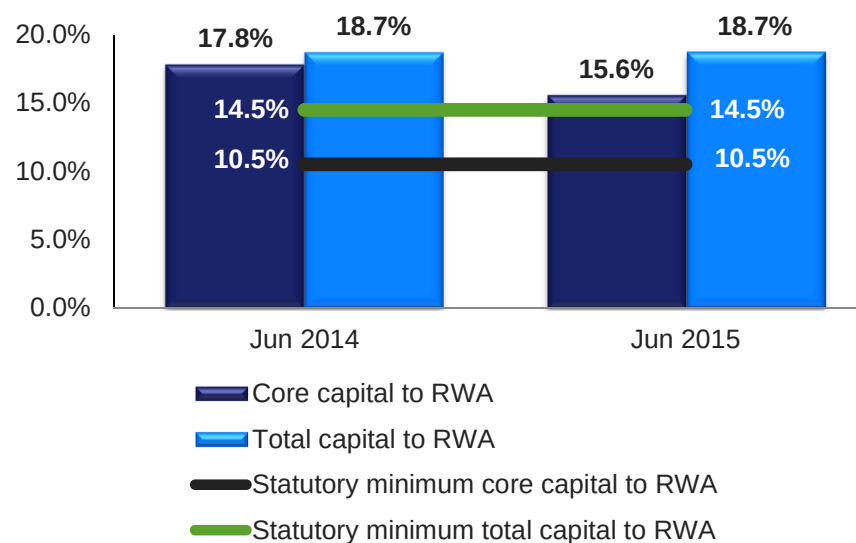
Funding, liquidity and capital



- Assets funded mainly from customer deposits
- Increase in deposits with banks explained by term funding raised to support growing term lending book



Capital adequacy ratio (Bank only)



RWA- Risk weighted assets

Corporate and Investment Banking (CIB)

Mike Blades

Executive, Corporate
and Investment
Banking

CIB summary performance

	Jun-2015 Kes millions	Jun-2014 Kes millions	Change %
Net interest income	2,347	2,455	(4)
Non-interest revenue	2,604	3,744	(30)
Total income	4,951	6,199	(20)
Credit loss ratio	0.1%	0.0%	
Customer loans and advances	51,341	41,782	23
Customer deposits	61,720	57,514	7
Contingents	14,518	20,759	(30)
Letters of credit	5,153	9,200	(44)
Guarantees	9,365	11,559	(19)

Corporate and Investment banking performance reflects a growing Kenya franchise which has been offset by declining revenues in our South Sudan operations

- Net interest income marginally declined due to margin compression despite significant growth in both customer loans and advances and customer deposits
- Growth in customer loans and advances was mainly driven by a combination of long term, short-term and working capital requirements for our clients
- Fees and commissions revenues have reduced mainly due to the impact of the deteriorating business environment in South Sudan.

CIB 2015 strategic priorities

- Focus on the client
 - Service Delivery
 - Client-centricity
 - Getting the basics right
- Continue to grow the Kenya Bank Business
- Macro economic conditions in Kenya should have a positive impact on economic activity and we feel we are in a strong position to take advantage of this
- Grow client revenues and maintain strong discipline around costs

Personal Business Banking (PBB)

Adam Jones

Executive, Personal
and Business Banking

PBB summary performance

	Jun-2015 Kes millions	Jun-2014 Kes millions	Change %
Net interest income	2,046	1,847	11
Non-interest revenue	735	1,231	(40)
Total income	2,781	3,078	(10)
Credit loss ratio	0.9%	1.5%	
Customer loans and advances	48,835	36,408	34
Customer deposits	50,203	37,273	35
Contingents	2,814	2,644	6
Letters of credit	1,124	2,149	(48)
Guarantees	1,690	495	>100

- Increase in net interest income was driven by increase in customer balance sheet
- Credit loss ratio (CLR) ratio at 0.9% compared to prior year of 1.5% driven by improved collections and pro active management of the portfolio mix
- Drop in non interest revenue mainly due to reduction in revenue from South Sudan business

PBB 2015 strategic priorities

	Initiative	Progress
1	Invest further in Private and Commercial Banking segments	We are continuously training and developing our Relationship Management teams
2	Raise cheaper deposits i.e. current and savings accounts to improve margins	Local (7%) and foreign (3%) currency deposit campaign currently on-going
3	Invest significantly in mobile and internet banking capabilities	Mobile App and new Internet Banking platforms launched in May 2015
4	Invest in non interest revenue activities to improve returns including bancassurance agency set up	Bancassurance agency approval received in July 2015 Bancassurance system implementation on-going
5	Enhance customer experience through improved turnaround times	Improved TAT by over 50% in our 3 key products (Unsecured, Homeloans and VAF)
6	Opening of new branches	Garden City(July 2015), Changamwe(Sept 2015), Two Rivers and The Hub Karen(Dec 2015)

SBG Securities (SBGS)

Nkoregamba
Mwebesa

Chief Executive,
SBG Securities

SBGS summary performance

	Jun-2015 Kes millions	Jun-2014 Kes millions	Change %
Brokerage commission	207	290	(29)
Other revenue	108	53	>100
Total revenue	315	343	(8)
Total expenses	(152)	(139)	9
Profit before tax	163	204	(20)
Tax	(31)	(65)	52
Profit after tax	132	139	(5)

- SBG Securities earned revenues of Kes 315m for the period ending 30th June 2015 indicating a moderate decline from Kes 343m recorded in the same period last year.
- The drop in performance reflects subdued equity and fixed income market activity for the period under review
- The decline was largely attributed to:
 - Uncertainty in the implementation of capital gains tax
 - Erosion off returns by a weakening Kes
 - General risk of emerging markets by Institutional Investors
- Market turnover as at 30th June 2015 was higher by 6% from the previous year
- SBG Securities market share YTD June 2015 stood at 13.62% from 13.24% in December 2014

SBGS 2015 strategic priorities

- Maintain sustainable financial performance and market share for the remainder of the year
 - 70:30 revenue split on client Vs non-client revenues
 - Maintain top 3 positions on Nairobi Securities Exchange, Uganda Securities Exchange and Rwanda Securities Exchange
- Maintain high quality of products and services for both retail and institutional segments
 - Harness our regional platform
 - Client facilitation for both retail and institutional clients
 - Brokerage offering to Wealth and Investment Segment at CfC Stanbic
 - i-Trader- integrate into CfC Stanbic Bank offering
- Continue to improve the quality of our research product
 - Widen coverage and distribution of equity research offering to institutional investors
 - Tailor made product for high net worth individuals

Q & A